

retirement than you would have paid when you were younger and working. In short, the government shifts the tax burden from the older citizens to the younger ones.

Most of the withdrawals in the retirement schemes give you tax free principle and interest withdrawals.

There are other schemes which are prevalent from time to time, like investments in infrastructure bonds etc., where you can invest with tax exemptions and though your withdrawals may be taxed later, at that stage, you may fall in a lower tax bracket.

Paying rent to your parents

If you are staying in your parents' house, you can consider paying rent to them. This can help you save income tax if your parents fall in a lower tax bracket. However, note that it is advisable that you enter into an agreement with them and actually make the payment every month, preferably by cheque.

If your parents are retired and do not derive any significant taxable income, they can claim tax exemption on the rent you pay them. So, in effect, you are utilizing the lower tax slab of your parent's income to save tax on the house rent allowance.

Charity to noble causes

Charitable contributions, of up to 10% of your income, are deductible under Section 80G. Depending upon the institution to which the donation is being made, the deduction can be either 100% or 50% of the amount donated.

Ensure that you obtain a receipt from the institution and a copy of their income-tax exemption certificate. Instead of giving the money directly to the needy and not getting any deduction, you can make a charitable contribution to an NGO that provides assistance to the needy. The